



HOW PREPARED ARE Indian banks to tackle climate-related risks? Well, the journey has just begun with the generation of data of risks posed by climate change, and offerings like green bonds and green fixed deposits. Still, the bottom line is that banks need to hasten their actions to mitigate climate-related risks to their operations.

An assessment of 34 major Indian banks with a combined market capitalisation of ₹29.5 lakh crore in FY22 found that India's public sector banks are more exposed to climate risk than their private rivals. That's because they are major lenders to the energy (conventional), mining, and metal sectors. Climate Risk Horizons (CRH), a think tank working with financial institutions to prepare them for climate-related risks, released the biennial assessment in August 2023, the second in the series.

On a positive note, Indian banks have started prioritising lending to green projects through special products; some are measuring the emissions of projects they have financed, developing tools and assessment frameworks for climate risks in their portfolio, and considering a policy to exclude carbon-intensive projects.

But is that enough?

Rama Patel, Senior Director and Chief Ratings Officer at CRISIL ESG Ratings and Analyt-

ACTIONS VS CHALLENGES

MITIGATION ACTIONS:

- 1 **Set up a robust governance structure for climate risk monitoring**
- 2 **Integrate climate risk in the capital adequacy ratio**
- 3 **Promote green credit and priority sector norms to mitigate transition risks**
- 4 **Bring in uniform green taxonomy and improve disclosures to reduce uncertainty**
- 5 **Incorporate climate risk assessments in credit appraisal processes**

CHALLENGES:

- 1 **The lack of standardised methodologies and reliable data across sectors**
- 2 **Limited availability of climate risk-related data across portfolios**
- 3 **Absence of climate scenario calibration by geography/business**
- 4 **Building skill and capacity to tackle these challenges**

ics Ltd, says banks are beginning to take steps to address climate-change risks, and integrating them into operations will help banks contribute to building a more sustainable and resilient financial sector in India.

For their part, financial sector regulators, too, have made climate risk assessment a priority. The Reserve Bank of India (RBI) introduced a draft disclosure framework on Climate-related Financial Risks, 2024, in February that applies to all entities regulated by it.

"The central bank has provided a glide path for regulated entities to meet the disclosure requirements. Indian banks are at a nascent stage of assessing, disclosing, and addressing climate-related risks. The process will require banks to gather climate-related disclosure across their portfolios from both transition risk and physical risk perspectives," Patel says.

For banks, climate risk still doesn't fall under the mandatory regulations.

Going back to that CRH analysis, YES Bank topped the assessment with a score of 15 on a scale of 20, followed by HDFC Bank and Axis Bank, both of whom scored 13.

YES Bank says it has set up a dedicated sustainable finance unit with employees who have specialised knowledge and experience in environmental management, carbon accounting, and climate risk. The unit works with teams across the bank, industry peers, think tanks, and other external stakeholders to keep abreast of the latest methodologies and protocols and learn about the best practices.

"The bank has also adopted an environment and social policy (ESP) as a structured approach